Article | 21 July 2026

Webinar: What if... Oil surges back to $120/bbl?

How bad could it get for energy markets? And what does the spike in oil and natural gas prices mean for Europe's economy and the ECB? Join us on Thursday for the first episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head. Sign up now

A US Military helicopter flies over the Strait of Hormuz, where tensions have escalated over recent days

Oil prices are on the rise as the US-Iran war enters a dangerous new phase and flows through the Strait of Hormuz grind to a renewed halt. So just how bad could it get for energy markets? And what does the spike in oil and natural gas prices mean for Europe's economy and the ECB?

Join ING's economists and strategists for the first episode of **What if?** – a new summer webinar series hosted by James Smith exploring what could turn today's market consensus on its head.

You'll learn:

- ING's base case for oil prices – plus what it would take for crude to go back to its previous 2026 highs or even higher.
- The major drivers of prices, from strategic reserves to Chinese demand.
- Why natural gas prices are rising and how bad it could get.
- The impact of the crisis so far on the eurozone economy.
- Whether the ECB can really hike twice more as markets now expect.

Sign up here

Details

Date: Thursday 23 July

Time: 09:30 BST/10:30 CEST/16:30 SGT

The webinar will last 30 minutes, including a Q&A session at the end.

The event will take place online, and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

By registering for this event, you'll be signed up to future webinars in this series. You can unsubscribe at any time.

Speakers

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Article | 21 July 2026 FX RATES

July ECB Cheat Sheet: No lull in sight

We expect the ECB to hold rates steady on Thursday. But what was meant to be a quiet meeting may evolve into a hawk-dove tug-of-war. Against the backdrop of renewed escalation in Iran, we think the policy message should focus on preserving market pricing, with hints of a September hike. Still, rates and FX are likely to take their lead from the oil market

The European Central Bank, led by Christine Lagarde, is likely to keep rates on hold at the July meeting.

This is our market preview of June's ECB meeting; you can find our macro team's preview here.

The European Central Bank is likely to leave rates unchanged on 23 July. Consensus is unanimous and markets are pricing less than a 5% chance of a hike. That fits the natural progression from June's hike, which was largely driven by higher energy prices, and felt more like an 'insurance' move than the start of a tightening cycle. Still, the stream of geopolitical and energy-market headlines since then means that a surprise hike should not be fully ruled out, in our view.

Among the more realistic hold scenarios, our baseline remains hawkish-leaning. Without updated economic projections, the communication will have to do the heavy lifting. We expect the hawkish wing of the governing council to remain more dominant, keeping market pricing skewed towards one or two rate hikes by year-end and limiting the risk of inflation expectations becoming de-anchored.

That may require signalling that a September hike remains the base case. Such a message is unlikely to feature in the cautious statement or press conference, but could well surface via the now familiar post-meeting media leak.

Scenario analysis: How to position for Lagarde's alternatives

	Inflation outlook	Growth outlook	Interest rates	EUR/USD (1.140)	10Y Bund (3.10%)
Current stance	Upside risks due to higher energy prices, second-round effects possible	Risks tilted to the downside, especially in the near term, due to the Middle East war	Depo rate at 2.25%. Data-dependent, meeting-by-meeting approach		
Dovish	Recent easing in energy prices has reduced the risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	**Hold.** Must be careful not to overtighten – implicit hints June was 'one and done'	1.130	3.05%
Neutral	Reiterating June views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, but did not increase any further since June	**Hold.** Not giving any new guidance. Reiterating wide optionality on rates	1.137	3.10%
Hawkish ING base-case	Latest re-escalation is bringing fresh upside risks to inflation	While downside risks persist, a variety of indicators have improved	**Hold.** Implicitly signalling another rate hike is the baseline scenario	1.140	3.15%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	**25bp hike.** Retaining optionality to hike further, but staying data-dependent	1.150	3.20%

Source: ING

Rates: Oil back in the driving seat

Rates are following the same playbook as at the start of the Iran conflict, with a jump in oil prices immediately reflected in tighter monetary policy expectations. A September hike is almost fully priced in and, unless oil prices ease before that meeting, we doubt markets will change their mind. The ECB probably has more influence over the market pricing thereafter, where the path of future hikes is less clear.

But even if the ECB decides to turn very hawkish at this week's meeting and hikes by 25bp, we doubt rates have much upside. If framed correctly, such a move would likely be interpreted more as a frontloading of the September hike. In addition, a hawkish policy surprise would likely weigh on longer-dated inflation expectations, limiting the upside of longer-dated rates.

A key difference compared to a few months ago is that real rates are much higher now. Higher real rates also explain why the 2Y euro swap rate has hit new highs despite Brent oil still trading well below $100. The higher real rates are driven by a recovering growth outlook and a more hawkish assessment of central bank policy, both factors arguably amplified by US dynamics. In particular, a less dovish-than-feared Federal Reserve Chair Kevin Warsh has turned global market sentiment more hawkish. So, unless the ECB expresses a significantly more pessimistic view on the economic outlook or explicitly communicates a more dovish reaction function, we think real rates can continue to stay elevated.

FX: Hawkish ECB is necessary but not sufficient for EUR resilience

The EUR:USD two-year swap rate differential has tightened by around 25bp since the early-July military re-escalation in the Gulf. This mirrors the move seen in March and suggests that markets believe the ECB has greater scope to adopt a more hawkish stance than the Fed, given its lower starting level of rates.

But even at the peak of this spring's oil rally, markets proved reluctant to price the ECB depo rate above 2.75% by year-end. Pricing is currently 2.65%, suggesting that further oil rallies may provide diminishing support for EUR/USD through the front-end rates channel and exert greater pressure via the energy/risk sentiment story.

Given how much EUR/USD has relied on the tighter rate differential to stay resilient in spite of Gulf headlines, a hawkish-leaning ECB remains a necessary condition for the pair to stay above 1.140. Still, we doubt it will be sufficient, and a retest of the June low of 1.133 remains a near-term risk.

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Article | 20 July 2026 COMMODITIES, FOOD & AGRI

El Niño casts a shadow over agri markets, but global food fears may be overblown

Forecasts point to a strong El Niño event at the end of 2026, raising fears over food supplies and prices. While we believe these fears are overstated at the global level, El Niño poses a more significant regional risk to agricultural output, particularly in Asia-Pacific, meaning food and agribusinesses should prepare for potential disruptions

A farmer in Manila, the Philippines. The impact of El Niño on global agricultural output is fairly limited, but Asia-Pacific is more exposed

El Niño at a glance

- El Niño is only one factor shaping commodity prices
- APAC among the most exposed regions
- Asian aquaculture is already feeling the impact
- The Indian monsoon season has got off to a slow start
- Forest fires, river water levels and rain onset data provide early warning signals
- El Niño can cause large production swings at the national level

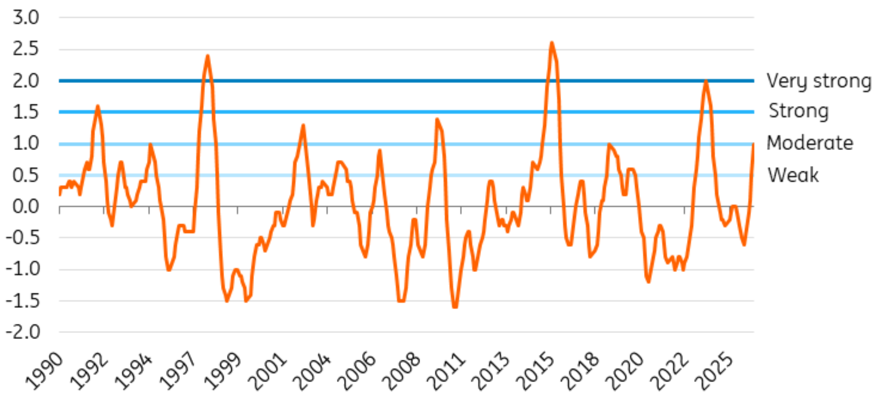
- At the company level, we'll see both short-term pain and short-term gain

Hola, El Niño! What happens when Hormuz and El Niño meet?

Global agricultural markets are still dealing with the impact of the disruptions to energy and fertiliser flows through the Strait of Hormuz. And as recent developments highlight, this risk is still very present. However, a new risk is building for agri markets, which has the potential to ripple through to the broader food and agricultural sector, and ultimately the global economy, in the form of food inflation. This risk is El Niño, which is now upon us, and forecasts are growing for a very strong event by year-end.

2026/27 El Niño has been gaining strength

Oceanic Niño Index with threshold levels, three-month running average up until June 2026

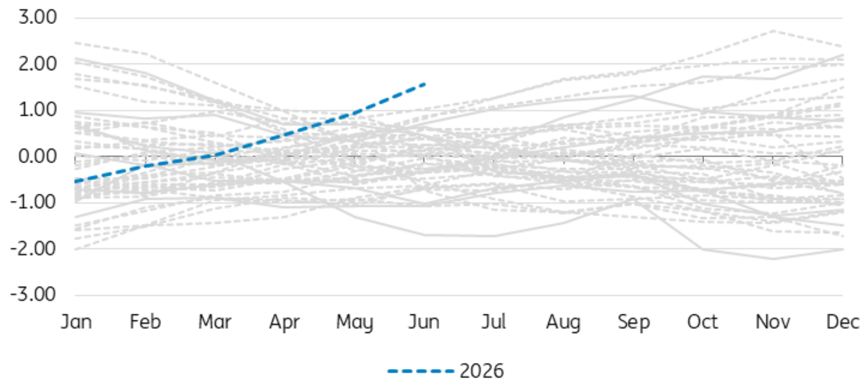


Source: NOAA, ING Research

Data from the National Oceanic and Atmospheric Administration, a leading US agency, shows that sea surface temperatures in a certain part of the Pacific Ocean (which provides a good indication of El Niño conditions) continue to rise, with an anomaly of +1.5 degrees Celsius in June, and this is expected to rise further through year-end. This is the highest reading for June going as far back as 1982. NOAA forecasts that there is a 97% chance that these conditions will continue through early 2027, and an 81% chance of a very strong El Niño during October to December of this year, placing it among the strongest on record since the 1950s.

Sea surface temperatures in El Niño region in June above historical levels

Monthly sea surface temperature anomalies in the El Niño 3.4 region, 1982–2026



Source: NOAA, ING Research

A realistic view: the impact of El Niño on global agricultural output is fairly limited

This all sounds very alarming, and hardly a day goes by when you don't read about impending declines in agricultural output and higher spikes in food prices. Fearmongering generates clicks, and, of course, El Niño can have a significant impact on certain regions and crops, but it can also be beneficial to other regions and crops, including soybeans. Clearly, the big caveat is that no two El Niño episodes are the same, so there is always a higher degree of uncertainty and risk.

However, if we look at agricultural output for some key crops through moderate to very strong El Niño events in the past, the impact on global agricultural output has been fairly limited. Admittedly, the 2015/16 El Niño event did have a broad-based impact on key agricultural commodity output. But again, on the whole, not alarming.

Technology has also made El Niño less disruptive to agricultural output than it was 30–40 years ago. Wider irrigation coverage helps reduce water stress for crops. In 1980, farmers had equipped around 11% of cultivated area for irrigation; by 2023, that share had doubled to 22%. They also used irrigation more intensively: the share of equipped area actually irrigated rose from around 65% in 1980 to almost 83% in 2023.

Seed technology has advanced as well, improving drought tolerance in some crops. Satellite technology has also strengthened crop monitoring, giving producers and buyers better visibility on emerging stress.

Finally, let's not forget that Brazil has become an agri powerhouse over the last 20-30 years, and El Niño can be beneficial for many crops in South America. However, the risk around this comes down to concerns over fertiliser availability, particularly given the re-escalation of tension in the Middle East.

Looking at global agri output changes for some key crops during El Niño periods does not scream crop shortages. That said, the effects on some perennial crops, such as palm oil and sugar cane, can become more apparent in subsequent years.

Upward and downward shifts in global crop output during El Niño periods

Output change (YoY %) for key agri commodities during last five moderate to very strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Corn	-3%	0%	3%	-4%	6%
Wheat	5%	-2%	0%	1%	0%
Soybeans	20%	6%	23%	-2%	5%
Rice	2%	-5%	-2%	-1%	1%
Palm oil	-4%	9%	4%	-5%	-1%
Sugar	1%	11%	7%	-7%	0%
Coffee	-6%	14%	-5%	-1%	3%
Cocoa	-1%	10%	1%	-6%	-13%

Source: USDA, ING Research

El Niño is only one of many factors shaping commodity prices

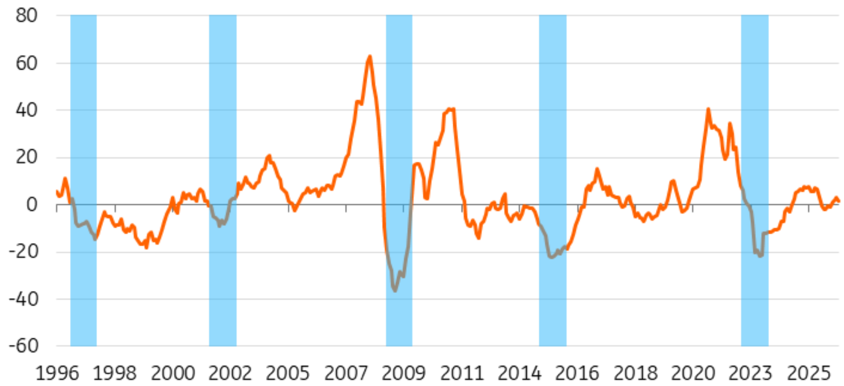
The story does not end with supply. At the end of the day, consumers and governments care about food prices. Yet a look at the UN FAO Food Price Index across past El Niño episodes does not point to a clear pattern of rising prices. In fact, during several of these events, the index actually declined.

The biggest increase during recent El Niño periods occurred during 2009 and 2010. However, this move was part of a broader recovery in commodity prices with Chinese stimulus and the global rebound following the financial crisis. It would be unfair to attribute this rise in prices to El Niño. Similarly, recent significant spikes seen in the FAO food index have generally been driven by factors other than El Niño, including demand shocks and tight inventories. So, while it is prudent to be alert to the risks relating to supply and prices, particularly with forecasts for a very strong El Niño this year, we would caution against assuming that the global outlook is bleak.

Adding another layer of reassurance to markets will be the fact that grain inventories are very comfortable, providing a buffer against potential supply shocks. However, in a scenario where inventories are drawn on heavily, markets will be left relatively tighter post-El Niño.

Recent spikes in food commodity prices outside El Niño events

Year-on-year change in FAO food price index with moderate to strong El Niño periods highlighted



Source: United Nations FAO, ING Research

A deep dive into Asia Pacific: one of the most exposed regions

While global food and agricultural production should remain broadly resilient, there will of course be regional variances and localised impacts. The Asia-Pacific region has historically borne more of the brunt of El Niño, with parts of South and Southeast Asia, as well as northeastern Australia, experiencing drier than usual weather conditions. There is a significant probability that weather disruptions will intensify during the second half of 2026, compounding what has already been one of the hottest periods on record for many countries in the region. That combination poses risks for various crops, including Australian wheat, Indonesian and Malaysian palm oil, Thai and Indian sugar production, as well as rice output across parts of the region.

Asian aquaculture is already feeling the impact…

The potential impact on crops is receiving most of the attention. But one industry that's heavily concentrated in Asia and is already exposed is aquaculture. Catch restrictions on Peruvian anchovy due to El Niño have led to a more than 75% year-on-year increase in fishmeal prices, also because Peru is a leading producer of this essential ingredient for fish and shrimp feed. For farmers and aquaculture companies across Asia, that's concerning given that feed is their largest cost component (typically 55% to 65% of total farm expenses).

…meanwhile the Indian monsoon season has got off to a slow start

The Indian monsoon offers another important warning signal for possible El Niño weather patterns. Running from June to September, the season has got off to a slow start, and the Indian government has forecast rainfall at just 90% of the long-term average for 1971–2000. Although rainfall has since moved closer to normal levels, it still stands 24% below normal so far this season. This gap could narrow over the rest of the monsoon, but alarm bells are already ringing. Some agri markets could face additional pressure if concerns over domestic food availability push the Indian government to impose export restrictions. The government has done this before and earlier this year banned sugar exports at least until the end of September 2026.

Forest fires, river water levels and rain onset data provide early warning signals

While other supply chains across APAC don't have the same exposure yet, fish feed prices and the Indian monsoon act as the proverbial canary in the coalmine because they offer an early indication of what may follow. So, what other signals might provide a glimpse of what's to come? At first sight, real-time data on forest fires in Indonesia, water levels in the Mekong River, and the latest forecasts for the onset of the northern Australian wet season appear unrelated. But taken together, these indicators offer an early warning of where El Niño could begin to disrupt agricultural supply chains across the Asia-Pacific region next.

El Niño can cause large production swings at the national level

Output data for key agricultural commodities across APAC confirms that the region tends to be more vulnerable to El Niño, particularly during strong episodes. Looking at the region in aggregate masks strong crop declines at the country and crop level. For example, Australian wheat output often comes under pressure during El Niño periods, even during weaker episodes. And the declines can be very sharp. In 2002/03, Australian wheat output fell by 58% YoY, while during the most recent El Niño in 2023/24, production declined by 36% YoY.

Very strong El Niño in 2015/16 coincided with a drop in crop production in APAC

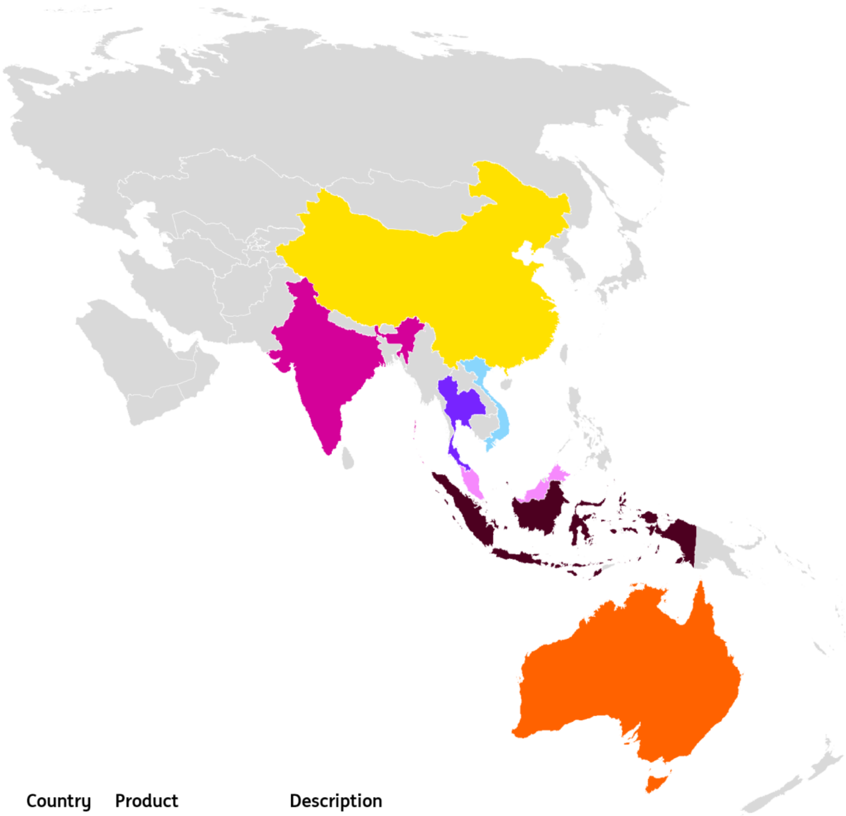
Output change (YoY %) for key agri commodities in the Asia Pacific region during the last five moderate to strong occurrences

	1997/98 Very strong	2002/03 Moderate	2009/10 Moderate	2015/16 Very strong	2023/24 Strong
Wheat	8%	-7%	5%	-3%	-2%
Corn	-15%	4%	-2%	5%	3%
Rice	2%	-6%	-2%	-1%	1%
Sugar	-3%	14%	4%	-9%	-13%
Palm oil	-5%	10%	4%	-6%	-1%

Source: USDA, ING Research

Meanwhile, APAC sugar production consistently sees declines during strong El Niño events, with declines led by India and Thailand. Moreover, the impact on supply is not confined to the El Niño period itself. Because sugar cane is a perennial crop, production can remain under pressure in the following year as well.

Rice, sugar, wheat, aquaculture and beef all exposed in APAC



Country	Product	Description
Australia	Wheat, sugar, beef, dairy	Prolonged drought can reduce crop yields and pasture availability. Also leading to increasing feed costs, lower milk output and pressure on livestock herds.
China	Corn, sugar	Overall impact more moderate, main concern around corn due to larger likelihood of summer droughts.
India	Rice, wheat, sugarcane	Rainfall deficits can pressure yields. Lower crop output could turn India into a net importer of certain crops.
Indonesia	Palm oil, rice	Drier conditions may affect yields, reduce availability of water for irrigation and increase wildfire risk, particularly in plantation and forest areas.
Malaysia	Palm oil	Drier weather can reduce palm oil yields and raise plantation fire risk.
Thailand	Rice, sugar, aquaculture	Lower water availability can affect crop production and freshwater aquaculture.
Vietnam	Rice, aquaculture	Increased risk of drought, in the Mekong River delta drought and saltwater intrusion could affect crops like rice and aquaculture.

The corporate response: how to prepare for yet another risk

Agri & food companies have had to manage their fair share of risks over the past few years, and climate-related risks are a recurring theme. With another major event on the horizon and knowing that APAC is more exposed, it makes sense for companies that either produce in or source from the region to go over their prep work again.

That includes at least three steps: risk assessment, risk reduction and preparation for any rapid response measures.

1. Closer monitoring of developments, combined with company-specific data, enables decision makers to identify whether any material impact is expected. This goes beyond the procurement team because other areas like logistics can also be affected. Weather disruptions can hinder logistics within the region as well as major trade routes to the US, where we already see some restriction of capacity in the Panama Canal.
2. If there is a material impact, companies can take additional measures to reduce risks. This could be through physical measures, including improved irrigation, additional water or feed storage and measures to reduce risks of forest fires. Taking financial measures can also help traders manage risk, for example by focusing on their hedging strategies, maintaining adequate liquidity, and protecting profitability.
3. Another way to reduce risk is by increasing operational flexibility. Capacity utilisation in food processing could be affected when farmers make different planting decisions or when harvests are lower or delayed. More substitution of certain inputs might be required. Coming back to our fishmeal example, the jump in fishmeal and fish oil prices means that feed companies have an incentive to use alternatives, including soymeal and algae in their feed mix. The companies that succeed in doing so will have a cost advantage.
4. Physical or regulatory disruptions could occur later this year. Export restrictions from individual Asian countries on certain crops to shield domestic supply are one example.

Designing a dashboard to better assess risks

So, if you're a decision maker in the food industry and want to keep a close eye on how the impact of El Niño develops in APAC, what would your 'risk monitoring dashboard' look like? In essence, it will likely include data on commodity prices, crop conditions (including AMIS crop monitor, Abares crop report) and weather patterns (like Indian monsoon rainfall). We argue that adding real-time data on physical indicators can further improve visibility on what happens on the ground.

Examples of such data are:

- Sea surface temperatures in El Niño area
- Anchovy landings in Peruvian ports
- Water reservoir levels (for example in India, Thailand)
- Water levels in the Mekong river at Kratie in Cambodia
- Forest fires in Indonesia

Many of the larger food & agri companies will have a certain kind of monitoring in place because of previous extreme weather events or other supply disruptions, especially if they're operating more upstream. But for others, including companies operating more downstream in the food & agri value chain, the 2026/27 El Niño could be the trigger to invest more time and resources to better prepare for any hit to the supply chain. Even if the impact at a country or commodity level turns out to be less severe than feared, good planning now will help with the next weather-related supply shock.

Short-term pain and short-term gain at the company level

We have argued that El Niño tends to have a limited impact on global agricultural supplies and food prices. That said, its effects can be significant at the regional level, with Asia-Pacific among the most vulnerable regions. The current situation highlights the wide range of risks companies must manage, from geopolitics to climate-related disruptions. While some businesses are likely to face short-term challenges, others may benefit from short-term opportunities. For companies in the APAC region, the ability to adapt will be crucial in the event that conditions deteriorate. Meanwhile, food and agriculture businesses elsewhere, particularly in the Northern Hemisphere, could benefit in the near term if production in the most affected regions falls short of expectations.

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Disclaimer

Article | 20 July 2026 UNITED KINGDOM

How Andy Burnham could surprise UK markets

Britain's new prime minister's bold ambition is constrained by tight fiscal rules and a commitment not to raise major taxes. An understated Autumn Budget looks like the growing consensus. But don't rule out bigger plans on anything from capital investment to the fiscal rules – or, crucially, a snap general election

The prospect of Andy Burnham becoming prime minister was enough to unsettle UK markets just a few months ago. His arrival in Downing Street, by contrast, has triggered little reaction

Britain has a new prime minister

Two months ago, UK markets recoiled at the prospect of new Labour leader Andy Burnham becoming prime minister. Today, his arrival in Downing Street has been met with little more than a shrug.

Risk premium in the bond markets looks contained. Most investors I speak to don't expect him to rock the boat this year, even if there are concerns about the fiscal trajectory further ahead.

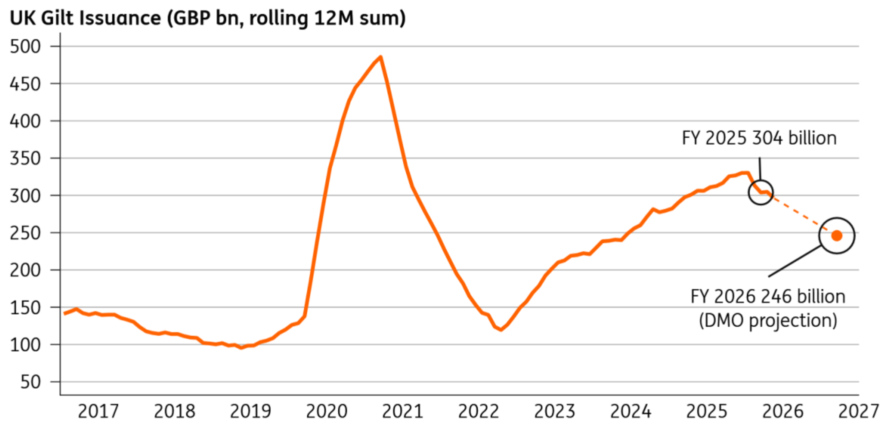
That thinking is understandable. Burnham's bold ambition towards everything from social housing investment to nationalisation is constrained by a commitment to stick to the fiscal rules and not raise the biggest taxes.

That tentatively points towards a relatively modest Autumn Budget. Expect a focus on policies that are as eye-catching as they are cheap and simple to implement.

Talk of plans to cut bus fares and lower taxes for hospitality is a case in point. As are proposals to shift a further share of policy costs from electricity bills onto general taxation, at a cost running into the low billions. That would conveniently coincide with a likely fall in the regulated energy price cap in October and would help push headline inflation lower at a time of heightened Bank of England sensitivity to price pressures.

Admittedly, those demands will run up against some thorny, unresolved issues from the Starmer era. Like the steep real-terms cuts to unprotected government departments planned for 2029, which will likely cost around £6bn in that year to reverse. Or the £4.7bn left unfunded in the recently announced Defence Investment Plan.

UK borrowing is set to fall sharply this year



Source: Macrobond, Debt Management Office, ING

But the truth is the numbers here are not huge – and can be accommodated in the fiscal rules. Burnham can thank outgoing Chancellor Rachel Reeves, whose long-planned changes to the fiscal framework are set to create roughly £16bn of additional borrowing room this autumn against the current budget rule. That should help offset some of the deterioration in the Office for Budget Responsibility's forecasts stemming from higher borrowing costs and lower migration assumptions.

Tax increases wouldn't necessarily need to be dramatic, either. Reeves considered a smorgasbord of tax hikes last autumn, many of which went unused – not least because they typically raise little cash and present major trade-offs. But together a handful of measures – covering banks to pensions – could help finance a modest fiscal easing.

In short: some extra spending, some tax rises, a modest increase in borrowing – but not enough to reverse a steep fall in gilt issuance this year. The Debt Management Office expects to issue £246bn of bonds, down from £304bn in the last fiscal year. Britain is a rare example of an economy going through genuine fiscal tightening right now, a consequence of the ongoing freeze in tax thresholds.

This scenario isn't likely to change our call for the Bank of England to start cutting rates again in 2027.

So far, so boring. So how could Burnham surprise markets this autumn?

Big CapEx, tax reform or fiscal rule changes?

A boring budget doesn't win elections – nor does it square with Burnham's rhetoric about big change. So a much bolder budget clearly can't be ruled out. Uncertainty is high; detail on the new prime minister's budget plans is light.

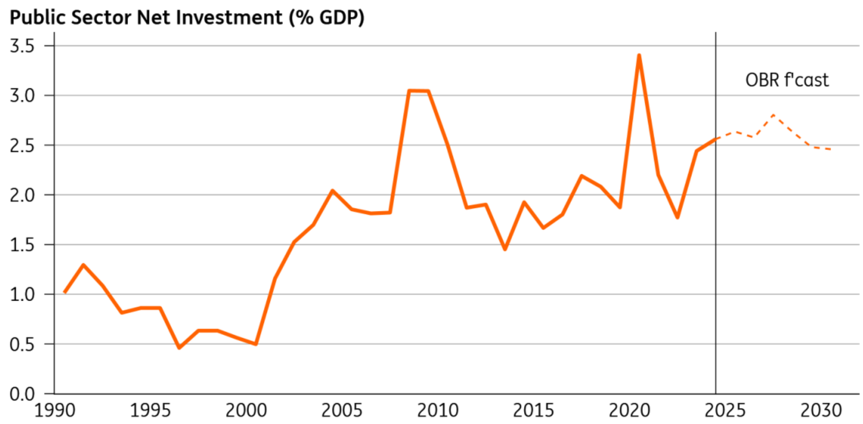
Don't forget that everyone expected Starmer's first budget to be dull. Then it ended up containing the biggest fiscal stimulus outside the pandemic since 2010.

Similar fireworks could come in five areas:

First, CapEx. Burnham wants to go big on social housing, but that's difficult under a rule dictating that net financial debt must start falling within three years. But the word "financial" is key; investment that involves an equity stake or loan would be treated more favourably, because they create financial assets as well as liabilities.

It's why we're hearing about new regional housing banks to finance social housing, or greater use of the National Wealth Fund to support infrastructure. Yet while these investment vehicles flatter the fiscal rules, they still usually require some upfront cash and therefore higher issuance – which ultimately is what markets are interested in. Thames Water and the push for greater public control will be an early test of ambition in this area.

Public investment as a share of GDP



Source: Macrobond, Office for Budget Responsibility, ING

Second, welfare reform. This is seen as totemic by many investors, even if the scope for material savings is very limited. Welfare spending accounts for a growing share of government expenditure. But Starmer's efforts to cut disability and pensioner benefits sparked huge backlash. Burnham has given little sign he wants to pick a fight over the Triple Lock, which sees the State Pension rise by the higher of inflation or earnings growth. But a surprise push here might be rewarded in lower gilt yields.

Third, tax reform. Property taxes aren't working – virtually everyone accepts that. And Burnham has indicated reform here will be a key focus. Proposals tend to focus on stamp duty – which is paid by buyers and is seen as a brake on housing transactions – and council tax, which is levied based on a property's value in 1991. This has become a key focus for proponents of a wealth tax.

Yet reform would be hugely contentious. What if you've just bought a house and risk being taxed twice? Revaluing council tax would also create huge winners and losers – but without necessarily raising any fresh cash. A lot of controversy for not much gain under the fiscal rules, with an election slowly coming into sight? It's why most expect efforts here to start with a further expansion of the so-called "mansion tax" being levied from 2028.

Then – fourth – there's tax more broadly. Reports this weekend hint that Burnham is open to raising the tax-free allowance for workers, a move that wouldn't come cheap. A 10% increase in the allowance, which has been frozen at £12,570 since 2021, would cost £11bn per year according to Treasury calculations.

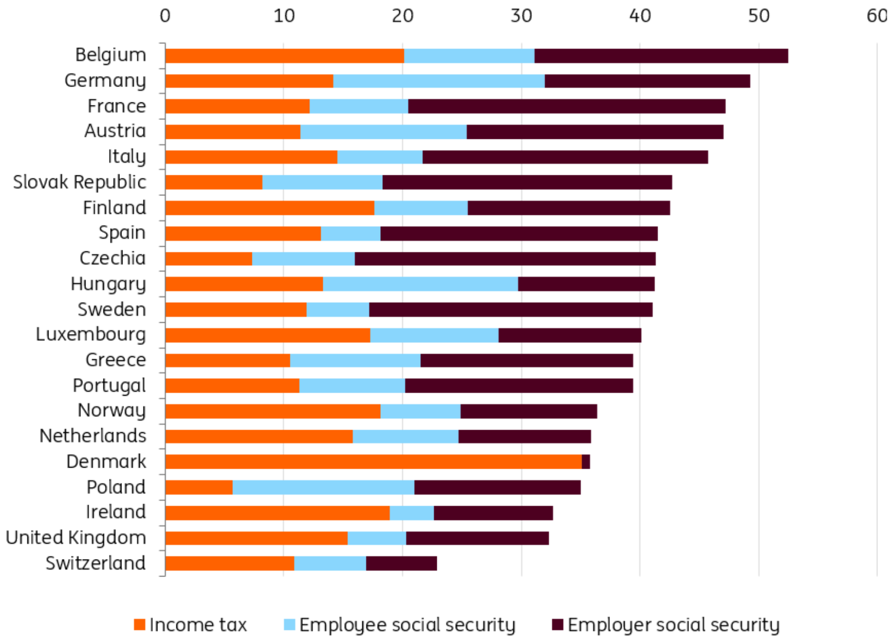
Much depends on the size of any increase and how it might be funded. Burnham might be drawn to the Resolution Foundation's proposed "tax switch": a 2ppt cut in National Insurance offset by a 2ppt rise in income tax. Because income tax has a broader base, this would raise about £6bn a year while leaving employee tax bills largely unaffected.

But even if the cost were mitigated, markets still probably wouldn't react kindly. Remember the freeze in tax thresholds is a major driver of lower borrowing this year and projected deficit reductions in the years ahead. Reversing course would cast doubt on the Treasury's commitment to those plans.

It would also shine a light on the combined income tax and National Insurance burden on the average worker, which is among the lowest in Europe according to the OECD. That's despite the UK's overall tax burden being at its highest level in decades.

Without difficult decisions on those major taxes – and set against the cacophony of fiscal challenges coupled with Labour's big ambitions – it's hard to see how the Treasury avoids relying more heavily on borrowing in the years ahead.

Tax rates as a share of labour costs for a worker on an average salary (%)



Source: OECD Taxing Wages 2026

Results based on a single individual without children earning the average wage

That brings us neatly to the final source of surprise: changes to fiscal rules. To us, this looks inevitable over the coming years, even if the widespread assumption is that it won't happen in 2026.

One option involves exempting defence spending or other investment from the fiscal rules entirely. The Treasury might fairly argue that investors would prefer that over borrowing on day-to-day spending. But more borrowing is more borrowing, however you look at it. And markets would react accordingly.

Remember, investors don't care about the fiscal rules per se; they care about the level of issuance they imply.

But what if the surprise isn't the budget at all?

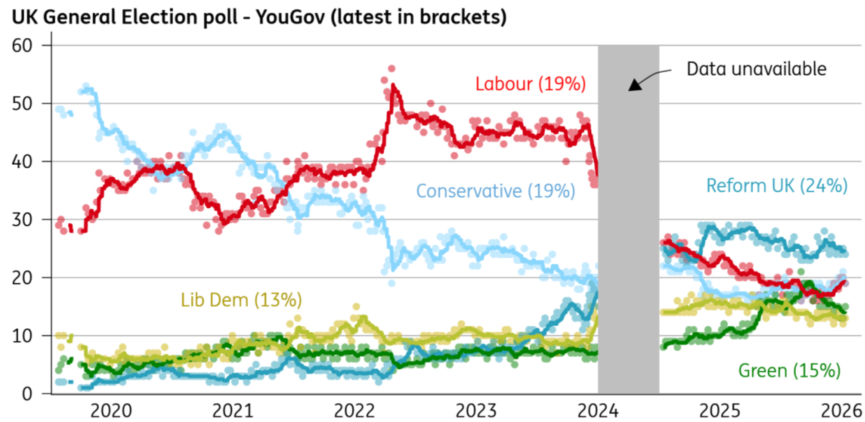
The wildcard: a snap election

A snap election is still the major wildcard. And markets probably wouldn't like it.

On paper, it looks highly unlikely. Why risk losing Labour's enormous 166-seat working majority at a time when the polls suggest the party would lose almost half its seats if an election were held tomorrow? Betting markets put the chances of a snap election at 15-20%.

Then again, Burnham won more than 50% of the vote in his new constituency of Makerfield a few weeks ago – a seat that would likely otherwise have been claimed by Nigel Farage's Reform UK. If that sentiment spreads into the national polls, then it's easier to see how Burnham might be tempted. Particularly when history tells us a new leader's popularity rarely goes up and usually goes down over time.

Reform lead the UK's opinion polls



Source: YouGov

It would fit a recent tendency of prime ministers to seek their own mandate. We saw it with Theresa May in 2017 and Boris Johnson in 2019. Yes, there are differences today (Johnson benefited from Brexit fatigue and Farage's then-Brexit Party standing aside at the election). But Burnham's team might also conclude his policy platform is only possible with a full five-year term to throw at it. It would almost certainly come at the cost of a smaller majority. But then we've seen with both Starmer and Johnson that huge landslides are no guarantee of eternal power within one's own party.

None of this comes without significant risk. May lost the Conservatives their majority in 2017 despite entering the campaign in a strong position in the polls. That's why an election is not our base case.

But the probability is perhaps higher than the betting odds imply. And a snap election probably wouldn't be received well by investors – assuming it could imply bolder borrowing plans if Labour resecured a majority, and policy paralysis if it didn't.

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Article | 14 July 2026 UNITED STATES

Easing US price pressure dampen imminent Fed hike talk

US June consumer price inflation data undershot expectations with the breadth of the softening the particularly encouraging aspect. Fed rate hike pricing has receded, but we still think it is too high. We forecast a prolonged pause from the Federal Reserve

US CPI for June was lower than expected and led by falling gasoline prices

2.6% **Annual rate of core inflation**

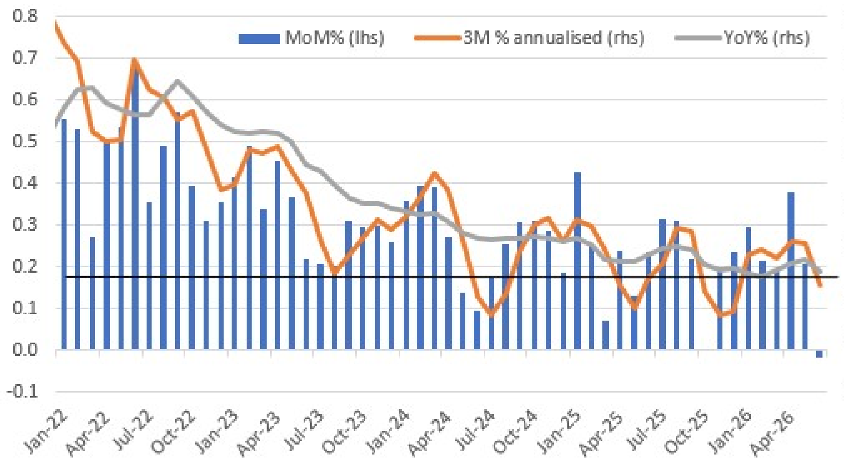
Lower than expected

US inflation lower than anyone expected

Today's consumer price inflation report for June was considerably softer than expected. US headline prices fell -0.4% month-on-month versus consensus expectations of a -0.1% outcome, while core inflation (ex-food and energy) was flat on the month versus expectations of a 0.2% increase. To three decimal places, it was a negative print of -0.017% MoM. As a result, the annual headline inflation rate slows to 3.5% year-on-year from 4.2% while core inflation slows to 2.6% from 2.9%.

The details show gasoline prices fell 9.7% MoM, but there were also falls in education & communication of -0.8% MoM, used cars (-0.2%), apparel (-0.6%), medical care fell 0.1% while shelter, the largest component within CPI, rose just 0.1%. New vehicle prices were flat on the month while other goods and services rose just 0.1%. The only real source of strength was recreation (+0.5%), which may reflect the World Cup to a certain extent. The encouraging aspect of this report is the breadth of the softness – it wasn't steep falls in one or two components that offset robust price increases elsewhere. The chart below shows core inflation metrics with the black line representing 0.17% MoM, which is the run rate required to bring core inflation down to 2% YoY.

US core inflation metrics (MoM%, 3M annualised and YoY%)



Source: Macrobond, ING

Kevin Warsh testimony says all the right things

Federal Reserve interest rate hike expectations had been building in recent days, reflecting the re-escalation of the Middle East conflict, the stalling of shipping through the Strait of Hormuz and the move higher in oil and natural gas prices. However, today's relatively benign inflation outcome, showing broad-based softening in price pressures, is resulting in a steep reversal with the 10Y yield down 6bp and 2Y treasury yield down 10bp on the back of the headlines. Yesterday, a July rate hike was seen as a coin toss, but right now less than 4bp of a potential 25bp hike is priced. 50bp of hikes had been expected by March next year as of today's open, but that has since dropped back to 44bp by April.

At the same time, we have had the release of the text to Fed Chair Kevin Warsh's semi-annual monetary policy testimony to Congress, set for 10:00am. It largely echoes his June FOMC press conference. The headlines say all the right things about being vigilant and being prepared to take action to ensure inflation returns to target – making sure “the inflation surge of the last five years will be a thing of the past”. The headline news outlets are focusing on is that he and the FOMC have "no tolerance" for persistently high inflation, which really shouldn't be any new 'news' seeing as the primary role for the Fed is maintaining price stability. As we expected, there is very little there that can be described as 'forward guidance' given his disdain for it. Comments in the Q&A about today's CPI print will be the focus – he will surely welcome it, but will likely insist that a series of cool prints will be required.

Four reasons for inflation to slow into 2027

The deterioration in the Middle East situation has led shipping transits through the Strait of Hormuz to collapse after their recent revival and this is putting upward pressure on oil and natural gas prices. Nonetheless, WTI oil at $80/bbl remains historically consistent with retail gasoline prices of around $3.75/gallon, below the current level of $3.85. Should talks resume, and a deal is done, we should see oil and gasoline prices head lower once more.

A second reason, and more important reason, for us to expect inflation to continue slowing is housing. As Fed Chair Kevin Warsh said at the June FOMC press conference, monetary policy doesn’t appear restrictive when considering the robustness of financial markets, but it does in light of the housing market. That is hugely important, given that the component with the heaviest weighting in the CPI is shelter, at 35%. Shelter inflation is currently running at 3.3% year-on-year. With home prices barely rising 1% and rents now falling outright in a growing number of states, according to data from Zillow and Realtor.com, we expect this dominant housing component to exert steady downward pressure on overall inflation over the next 12 months.

Thirdly, there are undoubtedly issues around semiconductor prices, but the biggest cost input for US corporates is not tech, tariffs or energy. It's the cost of workers. We’ve gone from a situation where, in 2022, there were two job vacancies for every unemployed American to being in balance today. This has taken a huge amount of froth out of wages. Moreover, the plunge in the quits rate – a measure of labour market churn – means companies are no longer having to pay up to retain staff. Wage inflation of 3% is fully consistent with 2% consumer price inflation.

Then, rounding out the story, we have tariffs. They represent a one-off step change in prices. Now that we've arguably entered a less onerous tariff regime that includes lots of exemptions, we’re increasingly confident that their upward influence on inflation will rapidly fade. The Dallas Fed believes tariffs are contributing around 0.9pp to the annual rate of core PCE deflator. As this drops to zero, core inflation should quickly descend. Moreover, Federal budget balance data showed the IEEPA 'Liberation Day' tariffs, that were struck down by the Supreme Court, are now being repaid to corporate America. In May the section 301 tariffs (the new regime) were fully offset by the initial repayments of the IEEPA tariffs. In yesterday’s June data, the Treasury actually paid out $25.5bn more in IEEPA refunds than it received under all other tariffs. With perhaps another $80bn of refunds still to be made, this boost to corporate cash flow should also be helpful in limiting consumer price increases.

A prolonged pause to next summer is our call

We recognise that the Fed has missed its inflation target for the past five years, and Kevin Warsh wants to put an end to this trend. Nonetheless, consumer inflation expectations are within tolerable ranges, suggesting little risk of second-round price effects from the energy spike. Meanwhile, market inflation expectations have plunged, with 10Y break-even inflation rates in line with their 25-year average, while those for 2Y inflation have dropped below 2%. To us, the more likely course of action is for the Fed to hold rates steady for a prolonged period, perhaps until the summer of next year.

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Article | 10 July 2026

European consumers still aren't consuming, but the way they save is changing

Eurozone households continue to act as a brake on economic growth. But a gradual shift from bank deposits towards investment products may be laying the foundations for stronger consumption and domestic demand in the years ahead

Eurozone households continue to save heavily, although more of those savings are now flowing into investments rather than bank deposits.

The issue: Savings inches down, but still well above historical levels

Europe still has a consumer problem. While household spending has picked up modestly in recent quarters, Europeans continue to save a much larger share of their income than before the pandemic, limiting an important driver of economic growth.

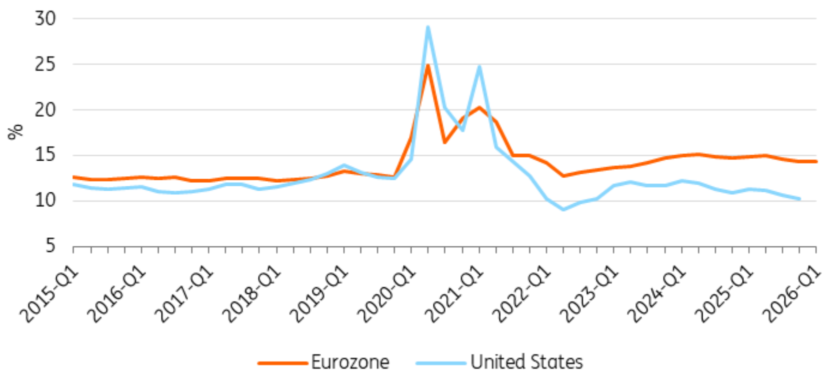
For every €100 of disposable income, Europeans spent €85.74 euros on goods and services in the first quarter of 2026, up only marginally from €85.70 in the fourth quarter of 2025. The increase was somewhat stronger compared with the previous two years. From the end of 2023 until mid-2025, the share of income spent on goods and services hovered around €85.

Yet the current 14.26% gross savings ratio (the share of disposable income not spent on goods and services) remains well above pre-Covid levels. During the five years before the pandemic, this ratio was stable at 12.5%, meaning households spent around €87.50 out of every €100 of income on goods and services.

In the US, by contrast, the gross savings ratio stands at 10.2% (4Q2025) and has come down from pre-Covid levels (graph 1). Household consumption continues to provide relatively strong support to the US economy amid solid demand for goods and services. European households remain more cautious, with higher savings acting as a drag on consumption.

Eurozone household savings ratio continues to remain above pre-pandemic levels

Gross household savings rate



Source: Eurostat, OECD National Accounts. Last datapoint for the US is 4Q2025.

The effect: A lack of household spending slows economy

Lower household consumption is weighing on growth*, both relative to historical levels and even more so relative to the US. For years, a gradual normalisation of the savings ratio towards pre-Covid levels was seen as a potential source of support for European growth. So far, there has been little meaningful progress.

In Europe, household spending typically accounts for just over 50% of GDP. If the savings ratio were to fall from first quarter levels to 12.5%, this would imply additional demand for goods and services equivalent to about one percent of GDP. A decline to a level similar to that seen in the US would imply additional demand worth around 2% of GDP.

**If lower household consumption (higher savings) translates into significantly higher household capital formation (higher new residential investment and renovations), it offsets the drain on domestic demand. However, with the exception of 2021 this has not happened. In fact, since 2023, housing investment has declined, further weighing on domestic demand.*

The surprising driver: older households fearing the erosion of their wealth

In December, we looked at the drivers of this change since Covid. We found a striking increase in the share of people who say 'now is a good time to save' relative to 2019. At first glance, this seems counterintuitive. After all, the past four years have been characterised by high inflation, and conventional economic thinking suggests rising prices lower real interest rates, boost consumption and reduce incentives to save. However, recent research by the Bank of England suggests that reduced inflation uncertainty, which is strongly correlated with lower expected inflation, leads to higher planned spending and lower monthly saving.

We share a similar view, but emphasise the role of wealth. We've found that the real value of household wealth in Europe fell sharply between 2021 and 2023 as inflation peaked. A similar pattern emerged in the US. But the impact was partly mitigated by higher equity valuations, allowing financial wealth to recover more quickly despite a lower savings ratio.

We also found that the increase in the share of people saying 'now is a good time to save' compared with 2019 was especially pronounced among those aged over 50. This age group has accumulated the most wealth, making them more exposed to the erosion of purchasing power caused by inflation. At the same time, older people tend to have significantly higher inflation expectations than younger people (chart 6, by age). Households that feel their wealth has been eroded and expect (often much) more to come may attempt to rebuild financial buffers by postponing consumption. As such, we continue to see the erosion of wealth as a plausible explanation for higher savings ratios. Let's see what's changed since then.

The opposing forces: Younger generations savings intentions peak

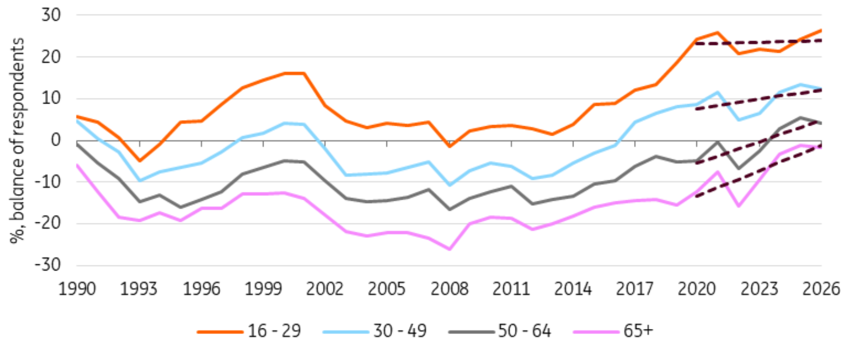
Since the outbreak of the war in Iran, inflation expectations have risen across all age groups. The increase is strongest among older age groups (graph 6, by age group). Nevertheless, older age groups seem slightly less inclined to save than before (graph below). This may reflect some individuals expecting to start drawing on existing savings as a buffer, using them to absorb unexpected financial setbacks as fears of higher inflation materialise.

Younger people, on the other hand, are more likely to say that now is a good time to save. We see this as a more traditional response to higher uncertainty, with younger households building up cash reserves for precautionary reasons. In absolute terms, the share of young people saying that now is a good time to save is at its highest level in the past 36 years. However, compared with pre-Covid levels, the increase is still less pronounced than among older age groups.

The data suggest the slight first-quarter dip in the savings ratio reflects two opposing forces: older households appear to be drawing down part of their reserves, while younger households are stepping up precautionary saving – leaving the aggregate ratio only marginally lower.

There's never been a better time to save

Yearly average of the difference between the percentages of respondents who gave positive and negative replies to the question: 'Over the next 12 months, how likely is it that you will save any money?'



Source: European Commission, ING Research. Data for 2026 is the average from Jan-Jun 2026.

The coming quarters: first down, then up

In the second quarter, the savings ratio likely slipped further as households tapped their financial buffers to offset the surge in fuel costs – a drag strong enough to outweigh any incremental rise in precautionary saving. Looking ahead, with fuel prices easing off their peaks but geopolitical and labour-market uncertainty still high, precautionary saving is likely to re-emerge as the dominant force.

Mortgage dynamics will reinforce this shift. With mortgage rates up roughly 20 basis points in countries like Germany, Italy, Spain and the Netherlands – and uncertainty rising – demand for new mortgages is set to cool over the coming quarters, while repayments are likely to pick up.

Until May, mortgage-debt growth held steady, reflecting the usual lag before shifts in borrowing behaviour show up in the data. A similar pattern was seen in 2022, when the impact of higher interest rates materialised with a delay. However, we don't expect an adjustment of similar magnitude; the increase in mortgage rates has been much smaller. Even so, we do expect to see slower growth in the mortgage debt stock over the next couple of months. Slower mortgage borrowing reduces the amount of new credit flowing into the economy, dampening housing-related spending and limiting consumption growth. At the same time, faster mortgage repayments leave less room for consumption, leading to higher saving ratios.

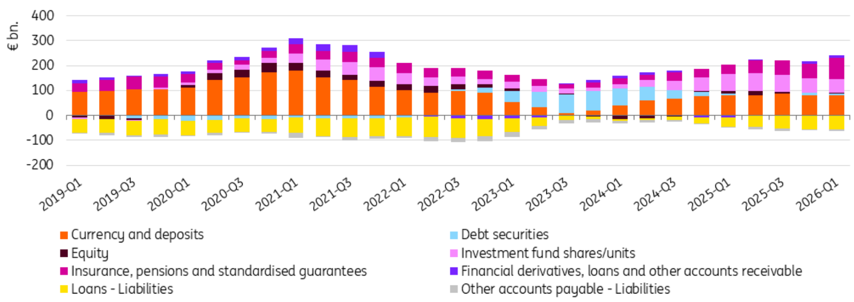
All in all, we see only limited upside for consumption in the third quarter. Any lift from easing inflation is likely to be muted once again by a rising savings ratio.

What’s new: Fewer deposits, more investments

Following the Covid pandemic, eurozone households initially channelled large amounts into bank deposits and debt securities. Since 2024, however, financial transaction data shows an increasing share is going into investment funds (including ETFs), as well as insurance, pensions and standardised guarantees. Over the past two years, net inflows into these assets have consistently outpaced those going into bank deposits.

Investment funds are gaining ground in financial portfolios of households

Quarterly financial transactions of households and NPISHs, 4q moving averages



Source: Eurostat, ING Research

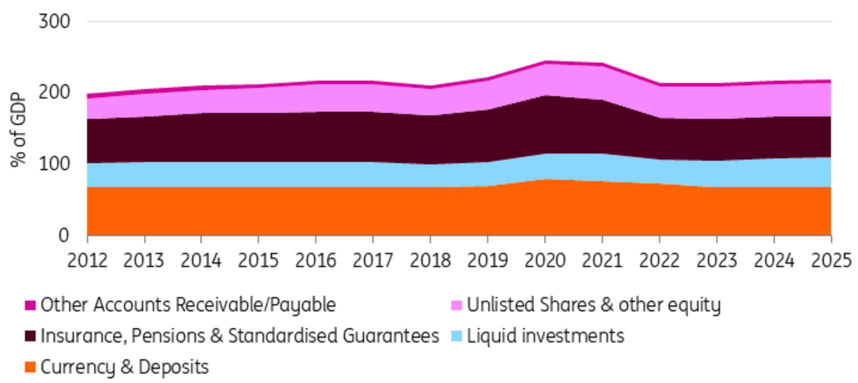
The longer-term implication: positive for growth

Household balance sheets show that as more savings have shifted into investment funds, pensions and other market‑linked products – and as asset prices have risen, the share of liquid financial investments in total wealth has increased (graph 4).

Between 2022 and 2025, liquid investments rose by the equivalent of 9% of GDP. Other forms of financial wealth remained roughly constant relative to GDP, whereas currency and deposits declined by almost 5% over the same period. The combined effect of asset price increases and households adding more money to various forms of wealth helped lift the wealth-to-GDP ratio. The gains remain far smaller than in the US, where stronger equity markets – and a much larger share of household wealth in equities and mutual funds – have driven wealth higher far more quickly, even though Americans added relatively less from new savings.

Households are holding more of their wealth in liquid investments

Eurozone household assets



Source: Eurostat, ING Research

Looking further ahead, if Europeans continue to allocate more of their savings to investment products, the need for precautionary buffers could gradually fade. As returns build wealth and offer stronger protection against inflation, households may feel less pressure to set aside such a large share of income to reach their desired level of financial security.

If that shift takes hold, domestic demand could get a lasting boost. Moves like Germany's pension reforms and the European Savings and Investment Union push in the same direction by encouraging households to hold a larger share of their wealth in investment products. We're not there yet, however.

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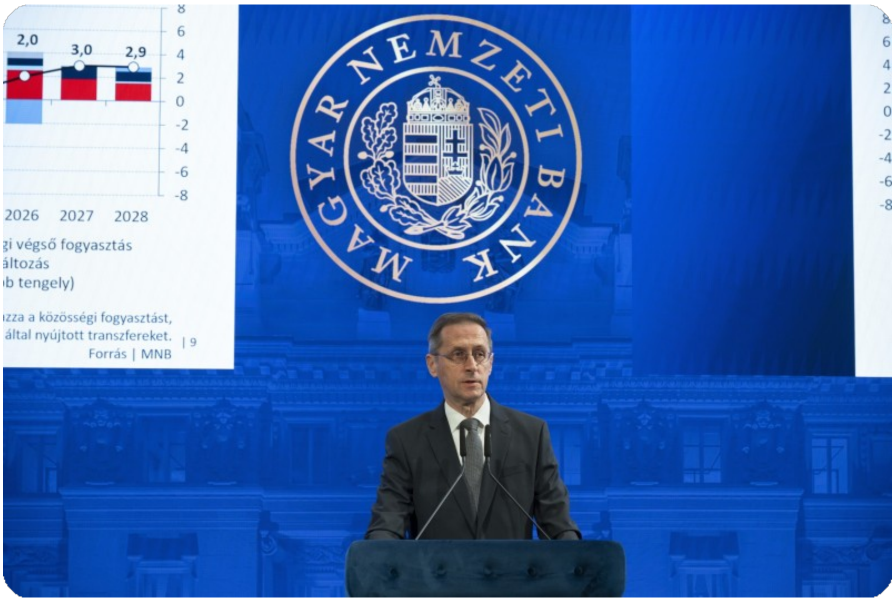
Article | 21 July 2026 HUNGARY

National Bank of Hungary review: Everything is going to plan?

In line with the telegraphed 'mini cycle', the National Bank of Hungary continued to cut rates in July. The Monetary Council will closely monitor developments in the risk premium, but we do not expect any further damage and anticipate more rate cuts



The National Bank of Hungary cut the base rate by 25bp to 5.75%. We look for more rate cuts this year

5.75% **Key interest rate**

(-25bp)

As expected

ING's policy view: We see scope for further cuts in autumn

The National Bank of Hungary cut the base rate from 6.00% to 5.75% on 21 July, as had been signalled at the June rate-setting meeting when Governor Varga announced a 'mini rate cut cycle' throughout the summer.

Looking ahead, if position-driven profit-taking proves to be temporary, as we anticipate, and local politics deliver on previous commitments regarding the euro adoption plan, EU funding developments and long-term fiscal adjustments, the risk premium for Hungarian assets could fall again. In this case, we forecast a 'midi' rate cut cycle involving three or four further rate cuts following July's move.

The biggest issue now is that the recent flare-up in the Middle East has increased the risk of miscalculation. At a local level, everything is going according to plan, with €16.4bn in EU funds being made available to Hungary. While it is still difficult to be certain, we are forecasting a base rate of between 4.75% and 5.00% by the end of this year and a terminal rate of 4.00% by the end of 2028.

ING’s market views

The NBH’s confirmation of its earlier forward guidance, despite elevated volatility and pressure on HUF assets amid the global risk-off sentiment, should reassure markets that the local story is unchanged. The reaction after the press conference suggests investors have accepted the dovish signal, with rate cuts returning to market pricing. We expect this to continue, supported by an unchanged fundamental backdrop after the April elections and repeated downside inflation surprises. With markets having outpriced around 40bp of easing and the implied terminal rate back near 4.75–5.00%, we expect pricing to shift toward a more dovish view after today’s meeting, closer to our medium-term forecast of 4.00%, while curve steepening continues.

This remains highly dependent on the global backdrop, where visibility is limited. However, any global relief should deliver the strongest gains in the HUF market, in our view, as Hungarian rates led the EM sell-off and the central bank has just confirmed that the domestic policy story is unchanged.

The FX implications are more mixed. Further NBH rate cuts would weaken expected carry, while a stronger US dollar and risk-off conditions remain unfavourable for EM currencies. Still, EUR/HUF has almost returned to post-election levels, which should limit further upside. If the global backdrop stabilises, we expect EUR/HUF to move back below 360.

Our three takeaways from the presser

- Overall, the macro outlook is broadly in line with the June Inflation Report. Inflation was lower than expected, while energy prices increased slightly and the country-specific risk premium remains favourable despite the recent correction. Therefore, recent market movements are not enough to raise a red flag. *We agree with Varga's suggestion that an* optimistic view *may be realistic this time.*

- The Monetary Council's decision was unanimous this time, and everything is in place for an August rate cut unless geopolitical factors intervene. The September Inflation Report will be decisive in determining the interest rate path for the autumn. Varga expressed his confidence that the interest rate outlook could improve significantly from an investor's perspective, particularly in the near future. *We believe that this commentary concerns the yield environment and can be interpreted as a mildly dovish statement, perhaps even unintended.*

- The importance of FX market stability in lowering and anchoring inflation expectations was emphasised again, as these expectations have been showing improvement lately. *We believe that the central bank's primary objective is to maintain the recent range of 350–365 for the EUR/HUF exchange rate.*

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Article | 21 July 2026

COMMODITIES, FOOD & AGRI

US aluminium market set to remain tight despite latest tariff changes

New investment incentives may support US aluminium smelting over time, but the market is likely to remain reliant on imports, keeping Midwest premiums elevated

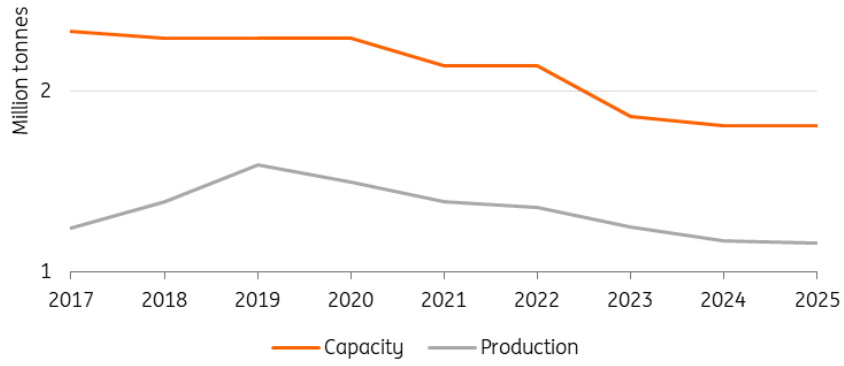
US aluminium import dependence and elevated delivery costs are likely to persist

The Trump administration has amended its Section 232 aluminium tariffs to encourage investment in domestic smelting. Companies that build, expand or refurbish US smelting capacity can apply to import qualifying volumes at a 25% tariff instead of the standard 50% rate, provided they meet approved investment milestones. The shift reflects the limited success of tariffs alone in reviving US primary aluminium production.

US remains structurally short of primary aluminium

US primary aluminium production has continued to decline over the years despite years of tariff protection. The country now has only four operating primary aluminium smelters, down from more than 20 at the turn of the century, leaving the US heavily reliant on imported metal. Canada remains by far the largest supplier of primary aluminium, while the Middle East also plays an important role in meeting US demand.

US primary aluminium production continues to decline

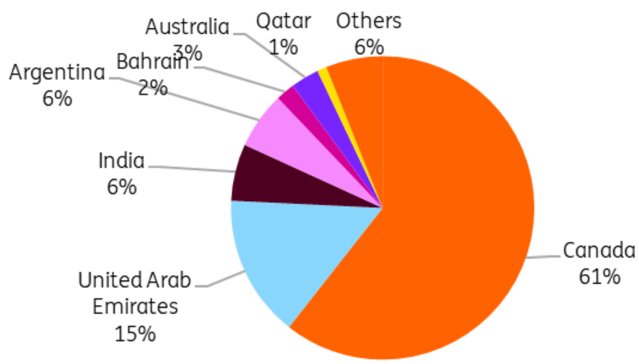


Source: USGS, ING Research

New supply will take years to arrive

Rebuilding domestic smelting capacity will take time. More fundamentally, primary aluminium production is constrained by access to reliable, competitively priced electricity rather than trade policy alone. While tariffs may improve project economics, developing new capacity still requires billions of dollars of investment, long-term power agreements, environmental permitting and several years of construction before additional metal reaches the market. The proposed 750ktpa EGA-Century Aluminum greenfield smelter in Oklahoma – the most advanced project in the US pipeline – is unlikely to add meaningful domestic supply before 2030.

US demand remains heavily reliant on imports



Source: US Customs, ING Research

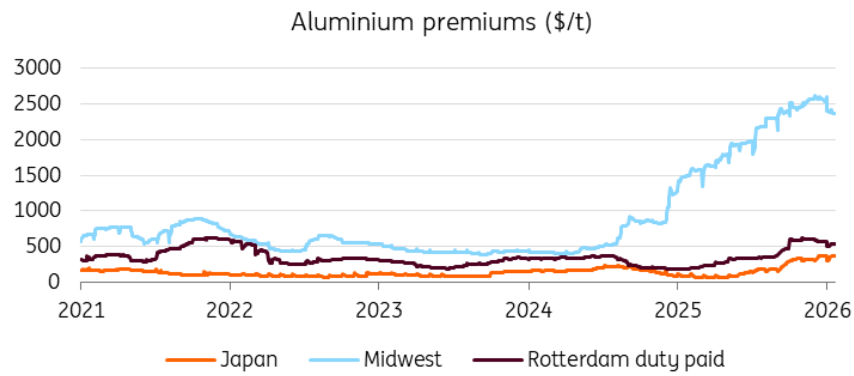
US aluminium imports by country in 1H26

Midwest premiums remain well supported

Recent disruptions in [the Middle East] have added to pressure on an already tight US market by reducing global availability and increasing competition for alternative supply. However, elevated Midwest premiums primarily reflect the combination of high import tariffs, limited domestic production and continued reliance on overseas metal.

We expect the US Midwest premium to remain well-supported. While the new programme may improve the longer-term outlook for domestic production, it is unlikely to materially reduce import dependence or procurement costs over the next several years.

US Midwest premium to remain elevated



Source: Platts, Fastmarkets, ING Research

Import dependence will persist

The latest changes are unlikely to materially alter the near-term US market. The reduced tariff applies only to qualifying volumes linked to approved investment plans, while meaningful additions to domestic smelting capacity remain years away. As a result, import dependence and elevated US delivery costs are likely to persist.

Ultimately, the programme should be viewed as a long-term industrial policy rather than a near-term solution to the country's supply shortfall. If successful, it could support a gradual revival of US primary aluminium production. Until meaningful new capacity comes online, however, the US will remain structurally dependent on imports, keeping Midwest premiums well-supported.

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Article | 21 July 2026

Rates Spark: Testing new highs

As oil prices push higher again, the 2Y EUR swap rate has tested levels above 3%. Implied rate volatility remains more contained as the risk of a severe re-escalation in the Middle East still seems unlikely. Meanwhile, the 10Y gilt yield has broken through the 5% mark amid increased fiscal uncertainty following Andy Burnham's appointment as prime minister

With oil above $90/bbl, the 2Y euro swap rate is at record highs as in March

Oil still driving rates, but future outcomes have narrowed

Oil has been testing prices above $90 per barrel again and at the same time, the 2Y euro swap rate has touched 3%, matching the record high reached in March. Rates can take this hawkish view because the growth picture continues to recover, giving the European Central Bank more room to react without worrying about negative economic consequences. Having said that, the growth outlook for the eurozone remains fragile. Forward-looking surveys such as July’s ZEW will help us understand whether the recovery remains resilient given the latest re-escalation in the Middle East. Unfortunately, July’s data won’t incorporate the latest jump in oil yet.

Another key difference compared to March is that implied rate volatility remains much lower. While uncertainty around oil prices has risen again, the tail risk of oil moving far above $100 has declined. Since March, Iran and the US have shown greater willingness to resolve the conflict. From the US perspective, a further surge in oil prices would likely be politically unpopular. As such, the range of possible ECB policy rate paths has narrowed alongside oil.

Gilt investors getting more nervous as fiscal language loosens

Meanwhile,10Y gilt yields jumped above 5% on potentially more fiscal spending under new UK Prime Minister Andy Burnham than is currently priced in. Compared to peers, sterling rates remain elevated, and while that is mostly an inflation story, the political risk premium also seems to be rising. We now estimate that the risk premium for 10Y gilts is close to 20bp, which is a few basis points short of the risk premium preceding last year's Autumn Budget. In practice, that means there still is some upside, especially if Labour wants to test the flexibility of financial markets. Here you can read about the potential policies we could see from Burnham. Expect more volatility in coming days as new policy ideas are floated in the media.

Tuesday's events and market view

After UK employment figures came in broadly as expected in the morning, we have the ECB bank lending survey. While usually not a market driver, these figures are used by the ECB to assess financial conditions. Afterwards, we get July's ZEW survey outcomes for Germany and the eurozone. Consensus estimates suggest that the expectations component will keep improving for Germany. From the US, we have the weekly ADP employment figures.

The UK will auction £5bn of 3Y Gilts, while Germany will auction €6bn of a new 5Y Bobl.

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Article | 21 July 2026 FX

FX Daily: Burnham's first market wobble

Gilts and the pound faced some volatility yesterday after new UK Prime Minister Andy Burnham signalled some flexibility with the fiscal rules. We still see vulnerabilities for the recently outperforming GBP. Elsewhere, USD has further room to rally from here as the market still appears dangerously complacent about the military escalation in the Gulf

10-year gilts materially underperformed other European bonds after new UK Prime Minister Andy Burnham said he intends to use flexibility within the fiscal rules

USD: Complacency remains a risk

The FX market is gradually catching up with developments in the Gulf, where tensions still appear to be escalating, and the dollar has found broad-based support. US President Donald Trump has pledged retaliation against Iran following the killing of three US service members in Jordan, while Houthi militants are threatening a blockade of Saudi Arabia in the Red Sea.

Brent has reached $90, still well below the spring highs, but FX markets may now be reacting less to the risk of sharp short-term spikes and more to the prospect of oil prices remaining elevated for longer. The bond sell-off and the spillover into equities reflect that shift.

Dollar risks remain skewed to the upside today as markets continue to display a risky degree of complacency towards the military re-escalation. A move back to 101.50 in DXY looks entirely consistent with the current backdrop.

The US calendar is light today, and the Federal Reserve remains in its pre-meeting blackout period.

Francesco Pesole

EUR: Test of 1.140 looks imminent

EUR/USD may soon retest 1.140. Rate differentials have provided support, but we are not convinced rate expectations for the European Central Bank can move much further from here. Markets are already pricing 44bp of easing by year-end, and the hawkish impulse may start to fade beyond 50bp.

Even at the peak of the spring oil rally, markets never priced the year-end deposit rate above 2.75%. That suggests further oil price gains may increasingly weigh on EUR/USD. If 1.140 breaks, the next key support is 1.1330, the June low.

Today's German July ZEW release is expected to show improvement in both the expectations and current situation components.

Francesco Pesole

GBP: A shaky first day for Burnham and markets

UK Prime Minister Andy Burnham's first day in office brought some market turbulence. 10-year gilts materially underperformed other European bonds after he said he intends to use flexibility within the fiscal rules, triggering a negative, albeit limited, reaction in sterling.

Attention this morning will be on the bond market response to yesterday's post-market surprise appointment of John Healey as Chancellor of the Exchequer. Sterling ignored the headline initially and is recovering this morning, partly helped by some decent jobs market figures. But stabilisation in the bond market is needed for the pound to fully regain its strong momentum.

That said, based on GBP’s muted reaction, Healey is probably not seen as materially different from the previously favoured frontrunner, Shabana Mahmood. In either case, the prevailing expectation is that Burnham will take a leading role in economic policymaking and therefore preferred a loyal appointment over a figure with stronger independent policy views, such as Ed Miliband.

EUR/GBP remains cheap according to our short-term valuation metrics, and the lack of any political/fiscal risk premium – alongside overly aggressive pricing on Bank of England tightening, in our view – argues for upside risks in the pair.

Francesco Pesole

CEE: Risk-off pressure persists despite better local news

Polish data for June pointed to solid economic momentum despite the US-Iran conflict and higher oil prices, while wage and employment figures signalled a balanced labour market supporting disinflation. In the Czech Republic, the Ministry of Finance plans to cut bond issuance after stronger-than-expected demand for the relaunched retail bond programme, allowing a meaningful reduction in Czech government bond supply for the rest of the year.

Still, despite constructive regional news, the US-Iran conflict and oil prices remain the key market drivers. While there were tentative signs of relief, CEE currencies failed to hold their gains and ended yesterday only marginally stronger. Rates markets at least appear to be stabilising after several days of elevated volatility and paying flows.

Czech rates now price more than two Czech National Bank hikes, which looks excessive despite the CNB being the only regional central bank to hike rates in response to the US-Iran conflict. Even so, the hawkish rhetoric is helping stabilise FX and keeping the koruna ahead of CEE peers on risk-off days. We have been bullish on CZK for some time due to the CNB's hawkish bias. After briefly touching 24.30 last week, EUR/CZK has been grinding lower and should gain further support from CNB board comments ahead of next week's meeting. Unless the US-Iran conflict escalates materially, EUR/CZK could move below 24.15.

Frantisek Taborsky

HUF: NBH to stay calm despite FX pressure

The National Bank of Hungary is likely to cut rates by another 25bp to 5.75% today. The central bank restarted its easing cycle in June and committed to further cuts in July and August. A new forecast is due in September, when the NBH should reassess its next steps. While FX and rates have come under significant global pressure, triggering the largest sell-off since the April general elections, the situation likely looks more stable from the central bank's perspective than from the market's. June inflation again undershot the NBH's forecast, and the governor last week described EUR/HUF around 355-360 as stable. Overall, we expect the NBH to maintain its current rhetoric.

The market has already priced out a large share of expected rate cuts after recent pressure on HUF assets, which underperformed not only within CEE but also across emerging markets. In our view, this reflects heavy long positioning rather than a deterioration in the local fundamentals, which remain constructive. As a result, we expect the sell-off to fade at the first signs of global relief. The market now prices slightly more than 75bp of easing, including today's meeting, and a terminal rate between 4.75% and 5.00%. We expect the policy rate to reach 5.00% this year and 4.00% in 2028. We therefore see room for the market to return to a more dovish stance and for investors to rebuild forint longs, depending on the global backdrop.

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